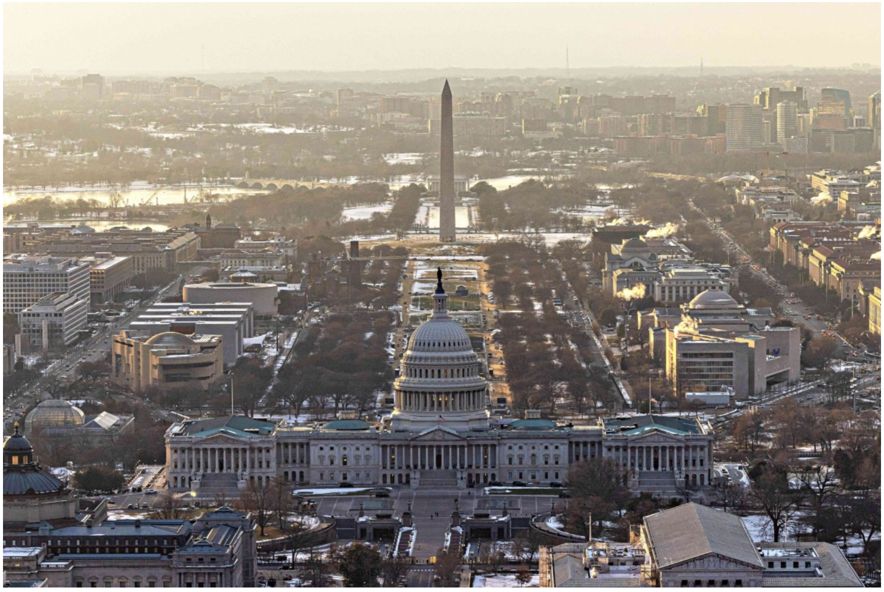
G10 FX Talking: Dollar comeback can last a bit longer

Hot US inflation can keep offering the dollar some support and test buoyant equity markets in the short term. That can lower the starting level for a relief rally in EUR/USD if and when a US-Iran deal is reached. Elsewhere, the pound will keep being tested by political risk, and we may have only seen the start of the FX intervention campaign in Japan



We think EUR/USD may have further to go before recovering

Main ING G10 FX Forecasts

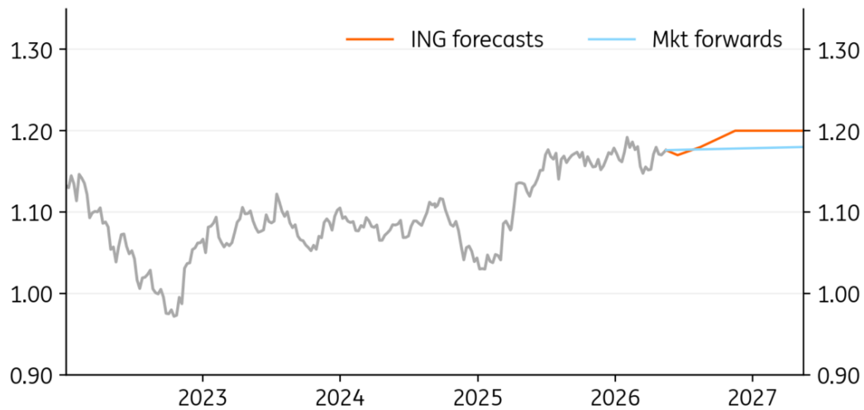
	EUR/USD		USD/JPY		GBP/USD	
1M	1.17	↑	159	↑	1.34	→
3M	1.18	↑	158	↑	1.34	→
6M	1.20	↑	155	↓	1.36	↑
12M	1.20	↑	152	↓	1.35	↑

	EUR/GBP		EUR/CHF		USD/CAD	
1M	0.87	→	0.92	↑	1.37	→
3M	0.88	↑	0.92	↑	1.36	↓
6M	0.88	→	0.92	↑	1.34	↓
12M	0.89	→	0.92	↑	1.33	↓

EUR/USD: Bracing for the bad news

	Spot	One month bias	1M	3M	6M	12M
EUR/USD	1.16	Mildly Bullish	1.17	1.18	1.20	1.20

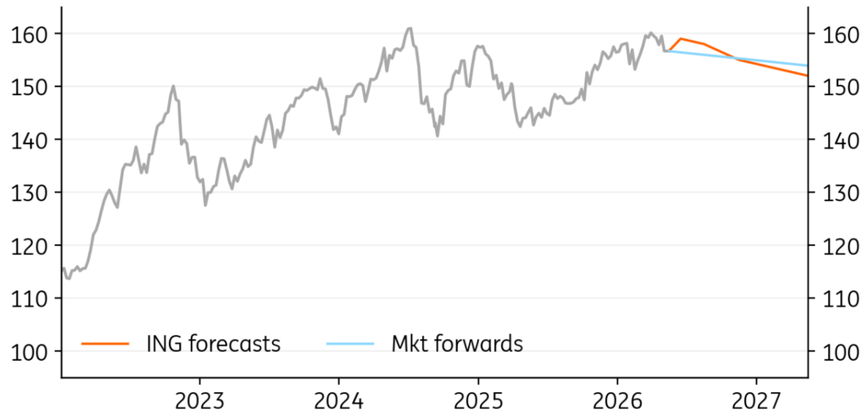
- Risk assets and currency markets have shown remarkable resilience to the energy shock. And arguably the dollar should be trading stronger based on US energy independence, surging AI-driven investment and a less dovish sounding Fed. Those positives could well build over coming months as inflation ripples around the world and stagflation hits the eurozone.
- We cannot rule out EUR/USD trading down to 1.15 again over coming months, but this is not 2022. Natural gas prices are more contained and a June hike from the ECB should help EUR.
- Risk premia going back into the USD ahead of November Mid-terms and a Fed cut in December should bring EUR/USD to 1.20.



USD/JPY: The start of a long intervention campaign

	Spot	One month bias	1M	3M	6M	12M
USD/JPY	158.41	Neutral	159.00	158.00	155.00	152.00

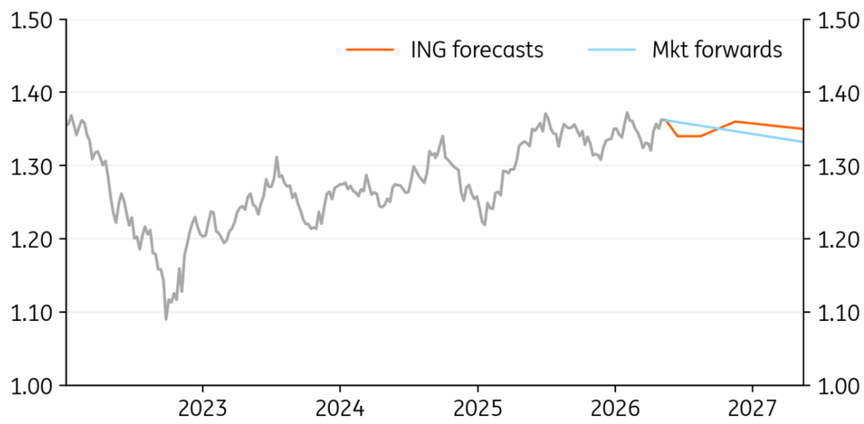
- It looks like the Bank of Japan sold around $70bn in FX intervention in late April/early May. 160 once again seems to be the line in the sand. However, FX intervention will likely prove less effective than in 2024 ($100bn sold) because: real interest rates are negative in Japan, speculators are far less short the yen and the Fed is not about to cut interest rates.
- We suspect this is the start of a long campaign to keep a lid on USD/JPY near 160. A BoJ rate hike to 1% in June, coupled with a signal of further tightening, would be supportive.
- USD/JPY only turns decisively lower when the dollar is ready to turn – and that looks like a second half 2026 story at the earliest.



GBP/USD: A long, hot summer for the pound

	Spot	One month bias	1M	3M	6M	12M
GBP/USD	1.3600	Mildly Bullish	1.34	1.34	1.36	1.35

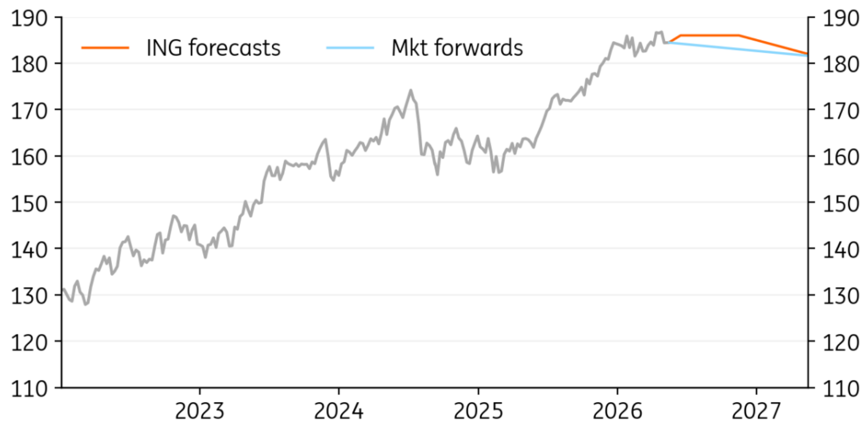
- As we go to press, the UK political situation looks fluid. The Labour Party looks like it wants a new leader, but PM Starmer is vowing to fight on. This psychodrama could take two to three months to unfold if Andy Burnham – seen as the most negative sterling candidate – enters the race to replace Starmer.
- Status quo looks the best outcome for GBP if Starmer stays, or Wes Streeting is elected with a sensible Chancellor. Most other options are GBP negative as Labour policy is pulled leftwards.
- In addition, we believe far too many Bank of England hikes are priced into markets – we look for just one hike in June this year. That outcome can keep GBP/USD well contained in its range.



EUR/JPY: No confidence in fighting the trend

	Spot	One month bias	1M	3M	6M	12M
EUR/JPY	184.4900	Mildly Bullish	186.00	186.00	186.00	182.00

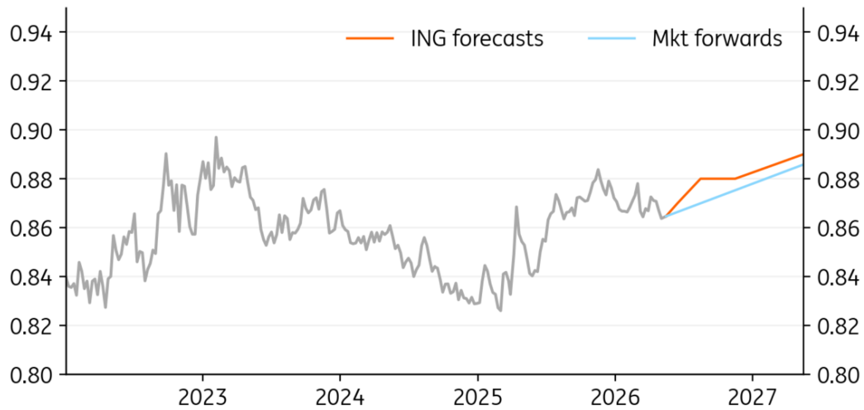
- With an inflation shock brewing, real interest rates are going to be increasingly important for currency markets. A June hike from the ECB, perhaps with a follow-up hike too, should manage to keep real euro rates neutral. Japan, on the other hand, faces deeply negative real interest rates with the fear that Japanese politicians are leaning on the BoJ to go slow.
- The above should mean a continuation in the longstanding EUR/JPY bull trend. Yet occasional bouts of BoJ FX intervention can probably keep the EUR/JPY upside quite limited.
- Were the global equity rally ever to take a raincheck, the euro – as a more pro-cyclical currency – would likely come under greater pressure.



EUR/GBP: Sterling remains vulnerable

	Spot	One month bias	1M	3M	6M	12M
EUR/GBP	0.8705	Neutral	0.87	0.88	0.88	0.89

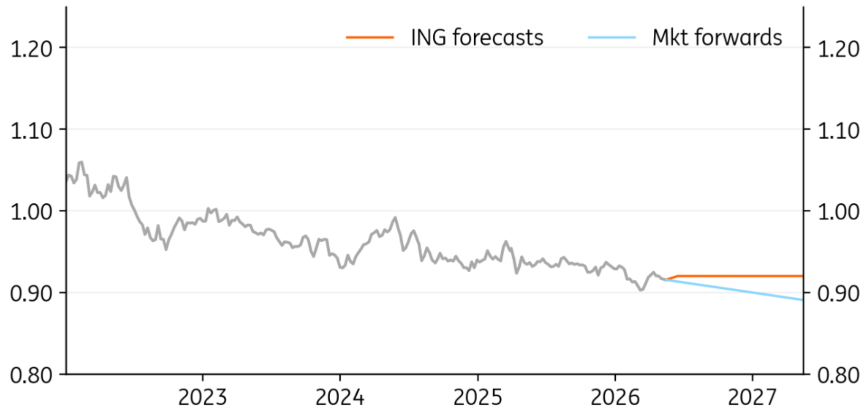
- EUR/GBP remains reasonably contained despite the dangers of UK politics. Perhaps it is short sterling positioning preventing a greater rally in EUR/GBP, although it may be sterling's high yield (3.75%) and an interest in carry given falling FX volatility.
- Both the UK and the eurozone should be hit equally hard by the oil shock. And we suspect the ECB is more committed to a tightening cycle now given that, heading into this crisis, ECB policy was neutral, while BoE policy was already restrictive.
- Politics, weak growth and a mis-priced BoE cycle suggest sterling is more vulnerable this summer. Levels above 0.88 look the direction of travel for EUR/GBP.



EUR/CHF: SNB's tries to sound relaxed over the strong franc

	Spot	One month bias	1M	3M	6M	12M
EUR/CHF	0.9100	Mildly Bullish	0.92	0.92	0.92	0.92

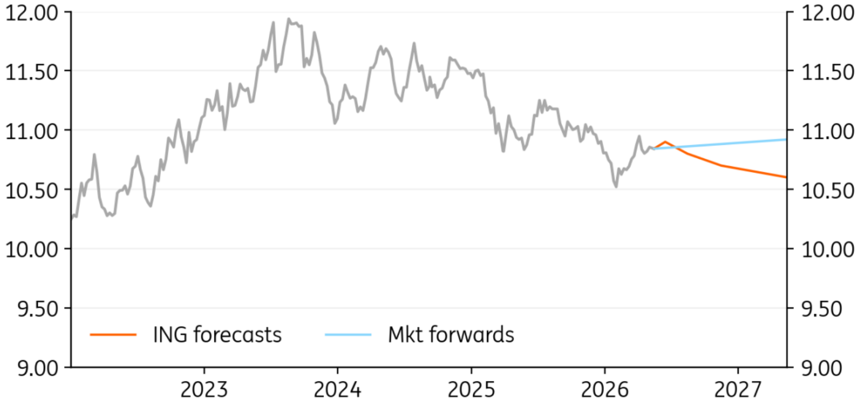
- EUR/CHF has been quiet, although is unwinding some of the gains in March made when the Swiss National Bank warned of increased FX intervention. In speeches by SNB board members we are hearing mixed messages on the franc – saying that in real terms the franc has hardly moved against the euro or the dollar since 2020.
- We do, however, think they've drawn some line in the sand near 0.90 and we should see a pick-up in FX intervention when the 1Q26 data is released at the end of June.
- Switzerland is less exposed than the rest of Europe to the oil shock given the low energy intensity of its industry. A tough summer for the eurozone can keep EUR/CHF near 0.91/92.



EUR/SEK: Riksbank to stay put for now

	Spot	One month bias	1M	3M	6M	12M
EUR/SEK	10.9700	Mildly Bearish ↘	10.90	10.80	10.70	10.60

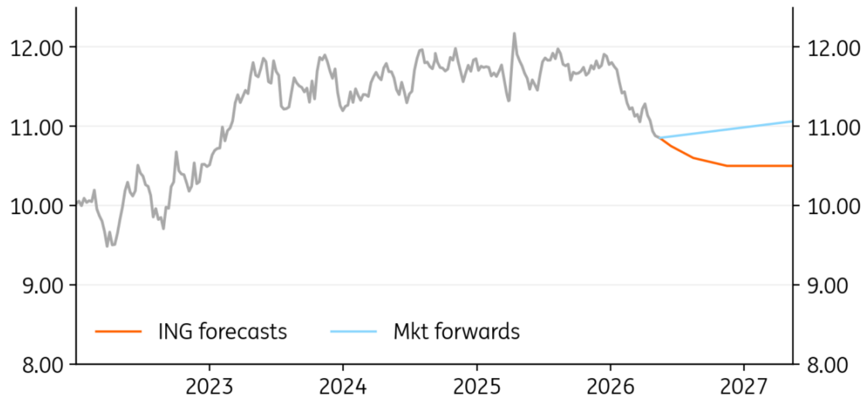
- Higher energy prices have caught up with SEK this month, but the upside volatility in EUR/SEK has remained broadly tamed.
- The Riksbank's minutes showed a slightly more hawkish tone than the April statement, but our call remains for no rate changes this year due to muted inflation. Any potential hike would likely need to wait until August or September and, in our view, would still require two ECB rate hikes.
- The wider short-term rate differential suggests a shallower EUR/SEK decline. But Sweden is less economically exposed to the energy shock than the eurozone, leaving us still a bit more constructive on SEK than EUR in 2H26.



EUR/NOK: The favourite oil trade in G10

	Spot	One month bias	1M	3M	6M	12M
EUR/NOK	10.8300	Bearish	10.75	10.60	10.50	10.50

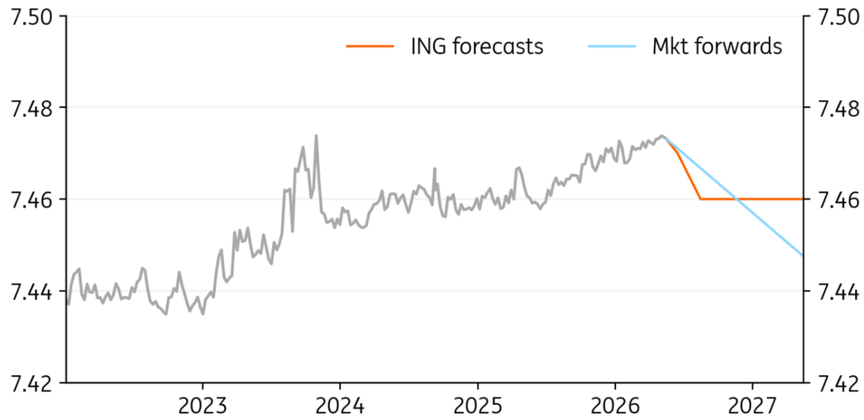
- NOK has continued to rally on still high energy prices, resilient risk sentiment and a surprise rate hike by Norges Bank in May offering an even more attractive carry.
- Unlike EUR/USD, the largest beta in our short-term EUR/NOK model is oil, not equities. The pair is likely oversold by speculators, and any de escalation headlines weighing on oil prices could trigger sharp spikes, as seen in early May.
- Still, we think EUR/NOK has more room to fall in the remainder of the year. Energy prices should land well above pre-war levels even after a peace deal, and even if we aren't fully convinced of another NB hike, carry will remain very negative.



EUR/DKK: Testing new highs

	Spot	One month bias	1M	3M	6M	12M
EUR/DKK	7.4700	Neutral	7.47	7.46	7.46	7.46

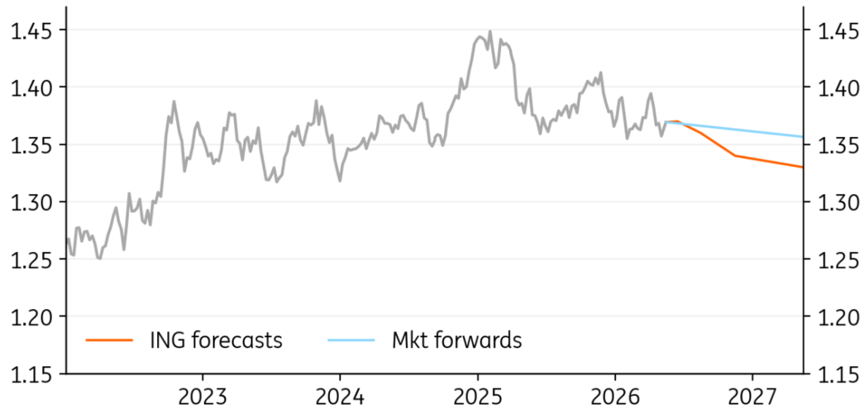
- EUR/DKK broke above 7.4730 in April without triggering central bank intervention. This may indicate a higher tolerance for modest upside volatility: spot fluctuations are still very small (<0.2%) relative to the ERM II +/-2.25% band.
- Another interpretation is that the Danish central bank is gearing up to tighten more than the ECB - possibly as soon as June - to curb the main source of upside pressure, the roughly 40bp policy rate gap.
- We continue to expect that, through intervention or rate action, EUR/DKK will not trade sustainably above 7.4740 and ultimately expect a return to 7.460 later this year.



USD/CAD: Unexciting prospects for CAD

	Spot	One month bias	1M	3M	6M	12M
USD/CAD	1.3700	Neutral	1.37	1.36	1.34	1.33

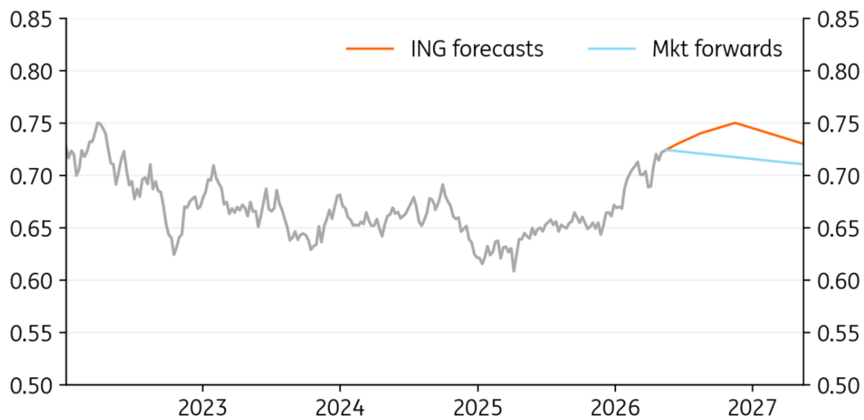
- The rewidening in USD/CAD short-term rate differentials to November's highs is preventing the pair from depreciating in line with persistently high oil prices.
- Canadian unemployment jumped to 6.9% in April, driven by major full-time employment losses, and in our view reducing further chances of a rate hike by the Bank of Canada. Markets are still pricing in 35bp of tightening by year-end.
- USMCA renegotiations remain a key event risk for CAD this summer. The clearest USD-negative scenario would be a de-escalation in the Gulf, but lower oil prices would make CAD a laggard in G10. We see a 1.36-1.38 range in the coming months.



AUD/USD: Fundamentals remain solid

	Spot	One month bias	1M	3M	6M	12M
AUD/USD	0.7200	Bullish	0.73	0.74	0.75	0.73

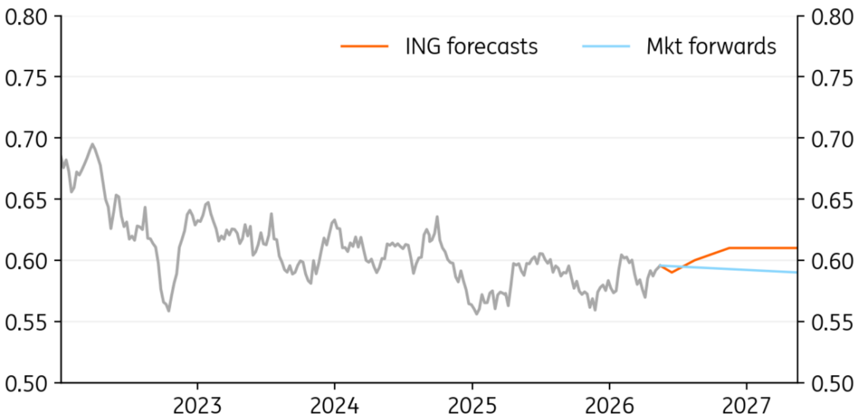
- Despite the latest correction in AUD/USD, fundamentals keep pointing up, and we are sticking to our 0.750 year-end call.
- Australia remains very well positioned to benefit from higher commodity prices (both energy and metals) and improved US-China relations remove a major risk factor.
- Obviously, global risk sentiment remains the big determinant in AUD/USD fluctuations, even more so considering AUD is now the go-to currency for carry seekers in G10. We don't currently pencil in another a rate hike in Australia, but risks are on the hawkish side. We still think the Fed will cut rates before the end of the year, endorsing late-2026 bullishness on AUD/USD.



NZD/USD: Lagging AUD for longer

	Spot	One month bias	1M	3M	6M	12M
NZD/USD	0.5900	Neutral	0.59	0.60	0.61	0.61

- New Zealand's jobs market held up well in 1Q, with wages excluding overtime a tad hotter than expected at 0.5% QoQ.
- The Reserve Bank should hold rates on 27 May after its latest survey showed two-year inflation expectations at a rising but not yet alarming 2.53%. But hawkish pressure is building, and we still expect two hikes by year-end (pricing 80bp).
- It's hard to see NZD emerge as an attractive alternative to AUD just yet. Despite a much better positioning profile (AUD is quite overbought), it lacks carry and energy exposure. The outlook should improve in 2H once the central bank starts tightening, in our view.



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Author

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Francesco Pesole
FX Strategist
francesco.pesole@ing.com